30 April 2024

# First Quarter 2024 Results

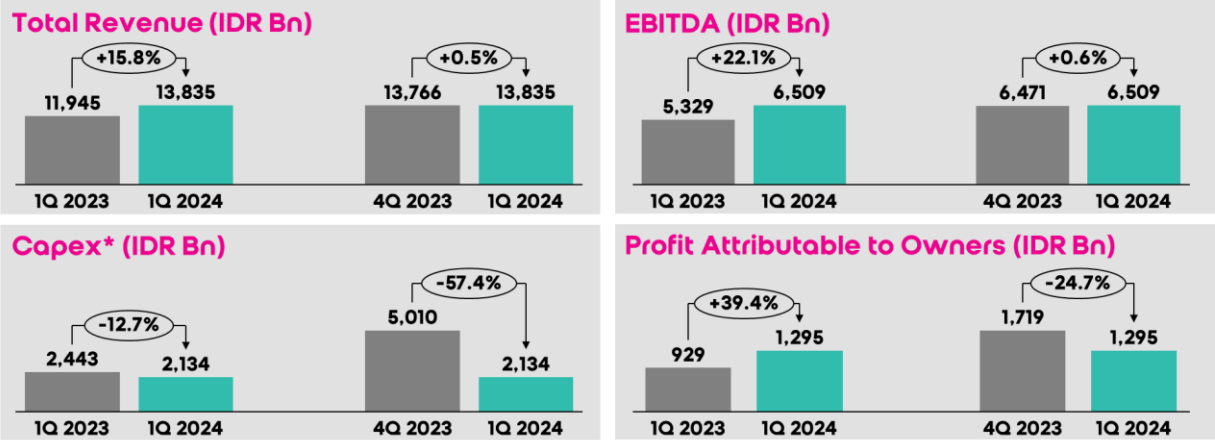
*Total Revenue of IDR13,835.3 Bn, +15.8% YoY.*
*EBITDA of IDR6,509.3 Bn, +22.1% YoY. Sustained Net Profit of IDR1,294.8 Bn*

PT Indosat Tbk. ("the Company") made a strong start to the 2024 financial year with a stellar set of first quarter numbers continuing its double-digit growth momentum. Thus, total revenue increased 15.8% YoY to IDR13,835.3 billion while EBITDA grew faster than revenue increasing by 22.1% YoY to IDR6,509.3 billion, due to a combination of top-line growth and cost optimization momentum. EBITDA margin stood at 47.0% in 1Q 2024. Profit For The Period Attributable To Owners Of The Parent was IDR1,294.8 billion on the back of a stellar financial performance as the Company continues to deliver value for stakeholders.

The Company's customer base increased by 2.3 million customers to 100.8 million compared to 1Q 2023. ARPU for cellular customers increased in 1Q 2024 to IDR37.5 thousand, an increase of 13.9% or IDR4.6 thousand higher compared to 1Q 2023.

Data traffic growth saw an impressive 14.3% YoY rise in 1Q 2024 while the Company has expanded its network infrastructure, boosting the 4G BTS count to 184k to effectively manage the growth in data traffic and deliver the best customer experience for its users.

## Financial Highlights




** excluding Right of Use Assets under PSAK 116*

The Company announced a historic collaboration with NVIDIA as it was appointed as NVIDIA Cloud Provider Partner in Indonesia. As the first NVIDIA Cloud Provider Partner in Indonesia, the Company and its subsidiary, Lintasarta, will bring NVIDIA's full-stack AI platform to enterprises across the region and offer unparalleled access to NVIDIA's cutting-edge GPU technologies. The collaboration between the parties seeks to position Indonesia as a global AI Cloud leader, fostering technological advancements and innovation. With the power of AI in the cloud ecosystem, the Company is anticipated to drive Indonesia's digital economic growth, creating a robust foundation for a thriving digital sector.

The Company also signed landmark collaboration agreements with Cisco and Mastercard in cybersecurity. With Cisco, the collaboration will bring cutting-edge cybersecurity solutions to enterprises in Indonesia, especially small and medium businesses (SMBs), to enhance their digital resilience and security posture. Along with Mastercard, the Company announced the launch of the Indosat-Mastercard Cybersecurity Center of Excellence (CoE). The Center will develop and boost the cybersecurity talent pipeline, pursue innovation in areas of cybersecurity and digital trust and industry-wide collaboration around scam detection and mitigation.

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# FIRST QUARTER 2024
# OPERATING AND FINANCIAL RESULTS

The Company has released its unaudited interim consolidated financial statements for the First Quarter 2024 ("1Q 2024"). The unaudited interim consolidated financial statements have been prepared and presented in accordance with Indonesian Financial Accounting Standards (IFAS).

**Unaudited Interim Consolidated Statements of Profit or Loss and Other Comprehensive Income**

| Key Indicators (in IDR billion) | Annually | | | Quarterly | | |
|---|---|---|---|---|---|---|
| | 1Q 2024 | 1Q 2023 | Growth % | 1Q 2024 | 4Q 2023 | Growth % |
| Revenues | 13,835.3 | 11,945.0 | 15,8 | 13.835,3 | 13,766.4 | 0.5 |
| • Cellular | 11,656.8 | 10,258.0 | 13,6 | 11,656.8 | 11,576.5 | 0.7 |
| • MIDI | 1,971.3 | 1,454.9 | 35,5 | 1,971.3 | 1,934.5 | 1.9 |
| • Fixed Telecom | 207.2 | 232.1 | (10,7) | 207.2 | 255.4 | (18.9) |
| Expenses | (11,069.3) | (9,585.8) | 15,5 | (11,069.3) | (10,405.5) | 6.4 |
| Operating Profit | 2,766.0 | 2,359.2 | 17,2 | 2,766.0 | 3,360.9 | (17.7) |
| Other Expenses - Net | (997.1) | (1,201.9) | (17,0) | (997.1) | (1,031.5) | (3.3) |
| Profit for the Period Attributable to Owners of The Parent | 1,294.8 | 929.1 | 39,4 | 1,294.8 | 1,719.3 | (24.7) |
| EBITDA* | 6,509.3 | 5,329.1 | 22,1 | 6,509.3 | 6,471.1 | 0.6 |
| EBITDA Margin | 47.0% | 44.6% | 2,4 | 47.0% | 47.0% | 0.0 |

**Financial Ratios**

| | Formula | 1Q 2024 | 1Q 2023 |
|---|---|---|---|
| Interest Coverage** | EBITDA/Interest Payment | 15.69 | 16.22 |
| Net Debt to EBITDA*** | (Debt - Cash & Cash Equivalent)/Total EBITDA | 0.27 | 0.33 |

** EBITDA (earnings before interest, taxes, depreciation and amortization) is a non-IFAS measure that management believes is a useful supplemental measure of cash generated prior to debt service, capital expenditures and income tax. Investors are cautioned that EBITDA should not be construed as an alternative to net income determined in accordance with IFAS as an indicator of the Company's performance or to cash flows from operations as a measure of liquidity and cash flows. EBITDA does not have a standardized meaning prescribed by IFAS. The Company's method of calculating EBITDA may differ from the methods used by other companies and, accordingly, it may not be comparable to similarly titled measures used by other companies.*
*** Calculated using EBITDA and interest payment for the periods ended 31 March 2024 and 2023.*
**** Net debt excludes lease liabilities.*

## UNUNAUDITED INTERIM CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

**Revenues** of IDR13,835.3 billion were recorded for 1Q 2024, an increase of IDR1,890.3 billion or 15.8% higher compared to 1Q 2023. The Company's Cellular, MIDI, and Fixed Telecommunication business each contributed 84.3%, 14.2%, and 1.5%, respectively to the interim consolidated operating revenues for the period ended 31 March 2024.

- ***Cellular Revenues*** increased by 13.6% compared to 1Q 2023, attributable to increase in Data, offsetting with decrease in Voice revenue and Value-Added services.
- ***MIDI Revenues*** increased by 35.5% compared to 1Q 2023, attributable to the increase in IT Services and Fixed Connectivity revenues.
- ***Fixed Telecommunication Revenues*** decreased by 10.7% compared to 1Q 2023 due to a decrease in International Call revenues.

**Expenses** of IDR11,069.3 billion were recorded for 1Q 2024, an increase of IDR1,483.5 billion or 15.5% higher compared to 1Q 2023. This increase was mainly due to increase in Cost of Services, Depreciation and Amortization, Personnel, Marketing Expenses, General and Administration Expenses and Other Operating Expense (Income) - net.

- ***Cost of Services:*** increased by IDR385.1 billion or 7.4% higher over 1Q 2023, mainly due to increase in rental and services, partnership cost, interconnection, and installation offsetting with lower radio frequency fee.
- ***Depreciation and Amortization:*** increased by IDR28.1 billion or 0.8% higher over 1Q 2023, mainly due to impact of depreciation from additional fixed assets and right of use assets from network roll out.

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- *Personnel Expenses:* increased by IDR36.9 billion or 4.0% higher over 1Q 2023 mainly due to increase in employee salary, medical expenses, and employee income taxes allowance.
- *Marketing Expenses:* increased by IDR215.8 billion or 69.3% higher over 1Q 2023, mainly due to increase in subscriber acquisition cost with expansion of rural distribution, marketing agency, exhibition, and customer loyalty expenses as impact from higher activities to support revenue growth. offset by a decrease in channel marketing.
- *General and Administration Expenses:* increased by IDR72.3 billion or 47.1% higher over 1Q 2023 mainly due to increase in professional fees, public relations, and rent expenses.
- *Other Operating Expenses (Income) - net:* increased by IDR745.3 billion or 101.6% higher over 1Q 2023 mainly due to one-off net gain on assets sale and leaseback in 2023.

**Other Expenses - net**: The Company recorded other expenses-net of IDR997.1 billion, decreased by IDR204.8 billion or 17.0% lower over 1Q 2023. This was due to a decrease in finance costs of IDR103.8 billion mainly due to lower outstanding debt and higher gain (loss) on foreign exchange by IDR 106.8 billion offsetting with lower interest income IDR 5.8 billion.

**Profit for the Period Attributable to Owners of the Parent:** The Company recorded net profit of IDR1,294.8 billion, increased by IDR365.7 billion primarily due to increase in revenue, offset by increase in cost of services, depreciation & amortization, personnel expenses, marketing expenses, general and administrative expenses, and other operating expenses (income) - net.

**UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF FINANCIAL POSITION**

| Key Indicators (in IDR billion) | 1Q 2024 | FY 2023 | Growth % |
|---|---|---|---|
| **ASSETS** | | | |
| Current Assets | 17,052.9 | 15,479.7 | 10.2 |
| Non-Current Assets | 98,561.2 | 99,242.5 | (0.7) |
| **TOTAL ASSETS** | **115,614.1** | **114,722.2** | **0.8** |
| **LIABILITIES** | | | |
| Current Liabilities | 33,343.1 | 34,134.3 | (2.3) |
| Non-Current Liabilities | 47,231.7 | 46,879.1 | 0.8 |
| **TOTAL LIABILITIES** | **80,574.8** | **81,013.4** | **(0.5)** |
| **TOTAL EQUITY** | **35,039.3** | **33,708.8** | **3.9** |
| **TOTAL LIABILITIES & EQUITY** | **115,614.1** | **114,722.2** | **0.8** |

- **Current assets** increased by 10.2% to IDR17,052.9 billion, mainly due to an increase in cash and cash equivalent offset by a decrease in prepaid expenses and inventories.
- **Non-current assets** decreased by 0.7% to IDR98,561.2 billion, mainly due to decrease in fixed assets and intangible assets.
- **Current liabilities** decreased by 2.3% to IDR33,343.1 billion mainly due to decrease in procurement payables, accrued expenses, and current maturities of long-term sharia and bonds payable offset by increase in account payables and taxes payable.
- **Non-current liabilities** increased by 0.8% at IDR47,231.7 billion mainly due to an increase in obligation under finance lease offset by decrease in non-current portion of long-term loans.

**Cash Flow and Capital Expenditure**

| Key Indicators (in IDR billion) | 1Q 2024 | 1Q 2023 | Growth % |
|---|---|---|---|
| Net Cash Flows Provided by Operating Activities | 6,279.5 | 5,032.5 | 24.8 |
| Net Cash Flows Used in Investing Activities | (2,688.2) | (773.5) | 247.5 |
| Net Cash Flows Used in Financing Activities | (947.9) | (1,785.7) | (46.9) |
| Net Foreign Exchange Differences from Cash and Cash Equivalents | 16.5 | (118.1) | 113.9 |
| **Net Increase in Cash and Cash Equivalents** | **2,659.9** | **2,355.2** | **12.9** |
| CASH AND CASH EQUIVALENTS AT BEGINNING OF THE PERIOD | 5,189.6 | 9,507.9 | (45.4) |
| CASH AND CASH EQUIVALENTS AT END OF THE PERIOD | 7,849.5 | 11,863.1 | (33.8) |

Capex in 1Q 2024 amounted to IDR2,133.9 billion (excluding IDR1,001.1 billion of Right of Use Assets). Approximately 88.8% of the Capex was allocated to cellular, to support data services demand and the remaining balance was allocated to MIDI and IT Capex.

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## STATUS OF DEBT

**Total outstanding debt:** As of 31 March 2024, the Company had total outstanding gross debts (excluding unamortized transaction costs and lease liabilities) of IDR14,569.0 billion. The Company's cash position as at 31 March 2024 stood at IDR7,849.5 billion and net debt is at IDR6,719.5 billion. The composition of the Company's gross debt, excluding lease liabilities, is as follows:

| Debt Proportion (Principal amount) | 1Q 2024 | FY 2023 | Growth % |
|---|---|---|---|
| IDR Loans (billion) | 7,400.0 | 7,420.0 | (0.3) |
| IDR Bonds (billion) | 7,169.0 | 7,383.0 | (2.9) |

**Total maturing debt:** in the next twelve months, IDR2,453 billion of the Company's debt is maturing. The average tenor of debt is 2.5 years as of 31 March 2024.

## OPERATIONAL RESULTS

| Key Indicators | Annually | | | Quarterly | | |
|---|---|---|---|---|---|---|
| | 1Q 2024 | 1Q 2023 | Growth % | 1Q 2024 | 4Q 2023 | Growth % |
| Customers - Postpaid (million) | 1.6 | 1.6 | (2.3) | 1.6 | 1.6 | (0.9) |
| Customers - Prepaid (million) | 99.3 | 96.9 | 2.4 | 99.3 | 97.2 | 2.1 |
| **Customers - Total (million)** | **100.8** | **98.5** | **2.3** | **100.8** | **98.8** | **2.1** |
| ARPU (Postpaid) (IDR thousand) | 85.9 | 68.4 | 25.5 | 85.9 | 80.8 | 6.3 |
| ARPU (Prepaid) (IDR thousand) | 36.7 | 32.4 | 13.5 | 36.7 | 37.8 | (2.9) |
| **ARPU (Blended) (IDR thousand)** | **37.5** | **32.9** | **13.9** | **37.5** | **38.5** | **(2.6)** |
| **MoU (minutes)** | **6.1** | **7.9** | **(22.6)** | **6,1** | **6.9** | **(12.1)** |
| **Data Traffic (PB)** | **3.858** | **3.376** | **14.3** | **3.858** | **3,716** | **3.8** |
| **SMS Traffic (bn)** | **0.7** | **0.6** | **3.1** | **0.7** | **0.6** | **9.3** |

Percentage changes may vary due to rounding

In 1Q 2024, the company's customer base increased by 2.3 million customers to 100.8 million compared to 1Q 2023.

ARPU for cellular customers increased in 1Q 2024 to IDR37.5 thousand, an increase of 13.9% or IDR4.6 thousand higher compared to 1Q 2023.

Average Minutes of Usage (MOU) per customer decreased to 6.1 minutes, a 22.6% decrease compared to 1Q 2023 in-line with the decrease of industry trend related to traditional voice services.

## NETWORKS

As of 31 March 2024, the Company has operated ~184K 4G BTS (adding ~32K 4G BTS during 2024) and 90 5G BTS.

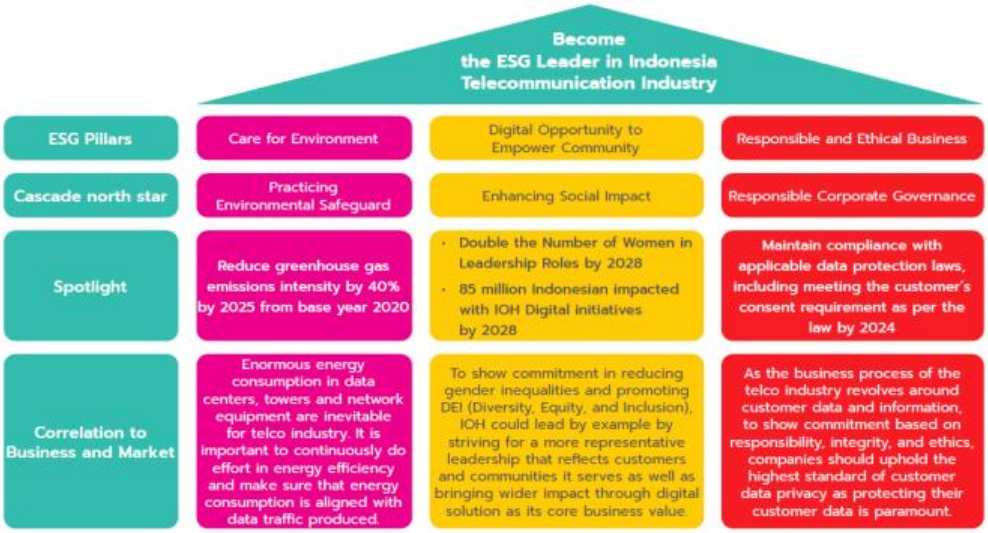
| Key Indicators | | Annually | | |
|---|---|---|---|---|
| | | 1Q 2024 | 1Q 2023 | % Change |
| Base Transceiver Stations (BTS) | 2G | 51,269 | 46,087 | 11.2% |
| | 3G | - | 425 | (100.0%) |
| | 4G | 183,760 | 152,155 | 20.8% |
| | 5G | 90 | 90 | 0.0% |

## 2023 SUSTAINABILITY REPORT

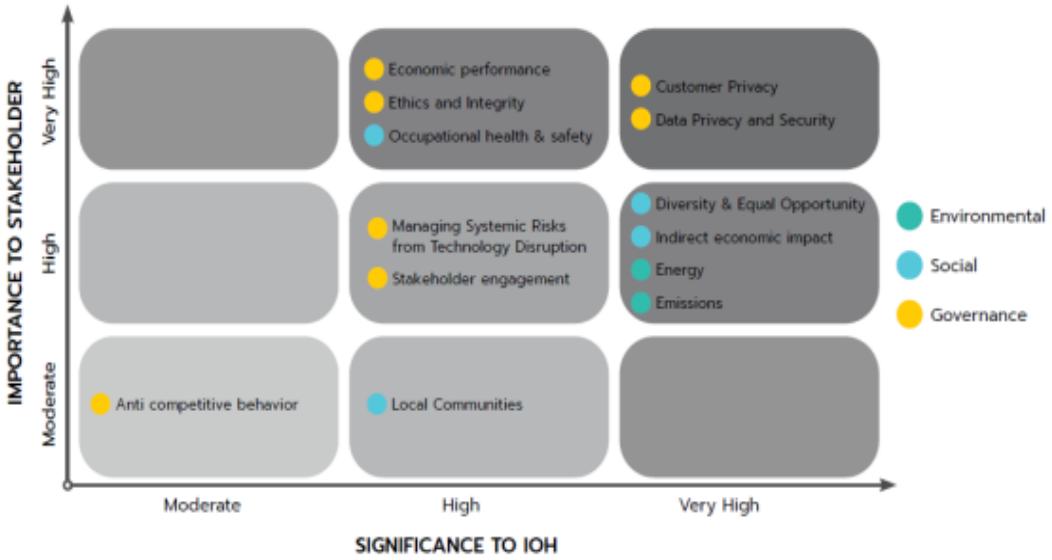
On 5 April 2024, the Company issued 2023 sustainability report. The report shows that the Company has established a strong foundation for its commitment to environmental, social and responsibility through the implementation of various significant sustainability initiatives.

Highlights of the Company's sustainability report:

1. ESG Framework
   In 2023, the Company developed a holistic sustainability strategy. Through its ESG frameworks, the Company confirms its commitment to 3 main pillars, i.e. care for environment, digital opportunity to empower community and responsible and ethical business. This framework provides guidance for the Company in implementing sustainable practices throughout its operations.




2. ESG materiality matrix
   The Company compiled a materiality matrix which is an important tool in identifying and managing the most relevant and significant issues for the Company and its stakeholders. Therefore, the Company can focus on aspects that most influence to the Company's sustainability performance and respond with appropriate strategies.




3. Multi-standard reporting
   The 2023 sustainability report is prepared using various standards, including Indonesian Financial Security Regulation No. 51/POJK.03/2017, Global Reporting Initiatives (GRI) and Sustainability Accounting Standard Boards (SASB).

## About Indosat Ooredoo Hutchison

Indosat Ooredoo Hutchison (Indosat, IDX: ISAT) has the vision to become the most preferred digital telecommunications company in Indonesia. Together with its subsidiaries and affiliates, Indosat provides cellular services, ICT solutions, data centers, Fiber to the Home (FTTH), electronic payment services, financial services, and other digital services. Indosat has a larger purpose of empowering Indonesia, and with the spirit of Gotong Royong, Indosat wants to be the main collaborator in realizing it and creating meaningful change. https://ioh.co.id/

Ticker: **ISAT**; Closing Price: **IDR11,175**; Market Capitalization: **IDR90.1 trillion**; Ratings: **Pefindo idAAA (Stable)**; **Fitch AA+(idn) (Positive)**;

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## UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
### For The Three-Month Periods Ended 31 March 2024 and 2023
(Expressed in Billions of Rupiah)

| Description | 2024 | 2023 | Growth (%) [1] |
|---|---|---|---|
| **REVENUES** | | | |
| Cellular | 11,656.8 | 10,258.0 | 13,6 |
| Multimedia, Data Communication, Internet ("MIDI") | 1,971.3 | 1,454.9 | 35,5 |
| Fixed Telecommunications | 207.2 | 232.1 | -10,7 |
| **TOTAL REVENUES** | **13,835.3** | **11,945.0** | **15,8** |
| **(EXPENSES) INCOME** | | | |
| Cost of Services | (5,612.0) | (5,226.9) | 7.4 |
| Depreciation and Amortization | (3,731.8) | (3,703.7) | 0.8 |
| Personnel | (961.5) | (924.6) | 4.0 |
| Marketing | (526.9) | (311.1) | 69.3 |
| General and Administration | (225.6) | (153.3) | 47.1 |
| Share of Net (Loss) Profit of Associates and Joint Ventures | (51.0) | 17.3 | (394.4) |
| (Loss) Gain on Foreign Exchange – net | (2.5) | 11.7 | (121.4) |
| Net Gain on Assets Sale and Leaseback | - | 722.4 | (100.0) |
| Others - Net | 42.0 | (17.6) | 338.5 |
| **TOTAL EXPENSES** | **(11,069.3)** | **(9,585.8)** | **15.5** |
| **OPERATING PROFIT** | **2,766.0** | **2,359.2** | **17.2** |
| Interest Income | 90.7 | 96.5 | (6.0) |
| Gain (Loss) on Foreign Exchange - net | 6.2 | (100.6) | 106.2 |
| Finance Costs | (1,094.0) | (1,197.8) | (8.7) |
| **OTHER EXPENSES - Net** | **(997,1)** | **(1,201.9)** | **(17.0)** |
| **PROFIT BEFORE INCOME TAX** | **1,768.9** | **1,157.3** | **52.8** |
| **INCOME TAX EXPENSE** | **(377.3)** | **(163.3)** | **131.0** |
| **PROFIT FOR THE PERIOD** | **1,391.6** | **994.0** | **40.0** |
| **PROFIT FOR THE PERIOD ATTRIBUTABLE TO:** | | | |
| **OWNERS OF THE PARENT** | **1,294.8** | **929.1** | **39.4** |
| **NON-CONTROLLING INTERESTS** | **96.8** | **64.9** | **49.3** |
| **TOTAL** | **1,391.6** | **994.0** | **40.0** |

1) Percentage changes may vary due to rounding.

***Disclaimer***

*This document contains certain financial information and results of operation, and may also contain certain projections, plans, strategies, and objectives of Indosat Ooredoo Hutchison, that are not statements of historical fact which would be treated as forward-looking statements within the meaning of applicable law. Forward looking statements are subject to risks and uncertainties that may cause actual events and Indosat Ooredoo Hutchison's future results to be materially different than expected or indicated by such statements. No assurance can be given that the results anticipated by Indosat Ooredoo Hutchison, or indicated by any such forward looking statements, will be achieved.*

*The financial information provided herein is based on Indosat Ooredoo Hutchison's consolidated financial statements in accordance with Indonesian Financial Accounting Standards.*

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